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MAY/JUNE 2005

CARIBBEAN EXAMINATIONS COUNCIL

SECONDARY EDUCATION CERTIFICATE EXAMINATION

PRINCIPLES OF BUSINESS

Paper 02 - General Proficiency

$2\frac{1}{2}$ hours

31 MAY 2005 (a.m.)

Answer ALL questions in Section I and THREE questions in Section II as indicated.

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SECTION I

Answer ALL THREE questions in this section.

1. (a) Identify TWO ways by which government can regulate the setting up of businesses. **(2 marks)**

(b) What is the significance of the word, 'Limited', in the name of a company? **(2 marks)**

(c) State the MAIN purpose of EACH of the following documents:

(i) Memorandum of Association

(ii) Articles of Association

(iii) Partnership Agreement **(6 marks)**

Total 10 marks

2. "The way capital and labour are combined determines the productivity of business".

(a) Define 'productivity'. **(2 marks)**

(b) What is meant by 'capital'? **(2 marks)**

(c) Discuss THREE strategies which can be used to increase the efficiency of labour. **(6 marks)**

Total 10 marks

3. (a) Define the term, 'supply', in economic terms. **(2 marks)**

(b) Explain THREE factors, other than price, that may cause an increase in the supply of beef. **(6 marks)**

(c) Outline THREE factors, other than price, that may cause a decrease in the demand for ice-cream. **(6 marks)**

(d) Discuss THREE ways in which producers or consumers may influence the price of cheese. **(6 marks)**

Total 20 marks

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SECTION II

Answer THREE questions in this section as indicated.

ORGANIZATIONAL PRINCIPLES

Answer EITHER Question 4 or Question 5. Do NOT answer both.

4. In 10 years, the Fair Deal Supermarket (FDS) Ltd. has grown from one shop to 8 branches. As a result of this expansion, management decided to introduce a Management Information System (MIS).

(a) What is the role of a Management Information System (MIS)? **(2 marks)**

(b) Explain EACH of the following functions of management:

(i) Planning

(ii) Controlling

(iii) Co-ordinating **(6 marks)**

(c) Identify TWO problems FDS Ltd. may face, as a result of the expansion. **(4 marks)**

(d) State TWO ways in which FDS Ltd. can utilize MIS in its personnel department. **(4 marks)**

(e) Outline TWO benefits which FDS Ltd. can obtain from utilizing a MIS. **(4 marks)**

Total 20 marks

5. (a) State THREE functions of a business. **(3 marks)**

(b) Identify THREE differences between a market economy and a planned economy. **(6 marks)**

(c) Name a country which has:

(i) A planned economy

(ii) A mixed economy. **(2 marks)**

(d) List THREE methods of internal communication used in an organization. **(3 marks)**

(e) (i) Evaluate the effectiveness of ONE method listed in (d) above. **(2 marks)**

(ii) Outline TWO reasons why an effective communication flow is important to an organization. **(4 marks)**

Total 20 marks

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PRODUCTION AND MARKETING

Answer EITHER Question 6 OR Question 7. Do NOT answer both.

6. "Today there is need to diversify the economies of Caribbean territories, but the migration of skilled personnel makes this very difficult".

(a) Explain the meaning of the terms 'diversification' and 'migration'. **(4 marks)**

(b) State THREE reasons why skilled workers migrate. **(6 marks)**

(c) Suggest TWO actions that the government of your country can take to discourage the migration of skilled personnel. **(4 marks)**

(d) Discuss TWO ways in which the migration of skilled personnel affects diversification. **(6 marks)**

Total 20 marks

7. A firm is importing a new brand of disposable diapers for sale locally. There are many different brands available locally. You are asked for advice on marketing the product.

(a) Outline the purpose of a market research. **(2 marks)**

(b) Discuss FOUR factors that must be considered when marketing the new product. **(8 marks)**

(c) What is meant by 'sales promotion'? **(2 marks)**

(d) Justify TWO sales promotion techniques you are likely to use for this product. **(8 marks)**

Total 20 marks

FINANCE AND INTRODUCTION TO ECONOMICS

Answer EITHER Question 8 OR Question 9. Do NOT answer both.

8. The countries of the Caribbean have been experiencing a number of economic problems. The result is a failure to achieve the desired economic growth and development.

(a) (i) Differentiate between economic growth and economic development. **(3 marks)**

(ii) Identify THREE major economic problems facing Caribbean countries. **(3 marks)**

(b) Outline THREE factors that may cause your country to experience economic growth. **(6 marks)**

(c) State TWO ways in which education can help in the economic development of your country. **(4 marks)**

(d) Discuss TWO benefits of foreign investment to your country. **(4 marks)**

Total 20 marks

9. The following information was taken from the final accounts of Tropicalo, a country in the Caribee Isles. The figures are quoted in US ($M).

	United States dollars
Visible trade	
Exports	24 000
Imports	26 000
Invisible (net)	
Exports	20 000
Imports	15 000

(a) (i) Differentiate between a country's terms of trade and its balance of trade. **(3 marks)**

(ii) Calculate Tropicalo's balance of trade using the figures given above. **(2 marks)**

(b) Calculate Tropicalo's current account balance using the figures given above. **(3 marks)**

(c) Identify TWO ways in which a country may have a surplus on its current account. **(4 marks)**

(d) (i) Explain what is meant by 'balance of payment'. **(2 marks)**

(ii) Discuss THREE ways by which a country would be able to finance the deficit in its balance of payments. **(6 marks)**

Total 20 marks

END OF TEST